Clearly, the wonderful magic of compounding *returns* has been overwhelmed by the powerful tyranny of compounding *costs*. *Some 80 percent of what we might have expected to earn has vanished into thin air*. (Caveat: In terms of *real* dollars, reduced by the 4.1 percent inflation rate over the past half-century, the final inflation-adjusted value of the initial $1,000 investment after costs and taxes would be—instead of $184,600 in nominal, precost, pretax dollars—a minuscule $5,300!)

The Wrong Kind of Wizardry

The costs of our financial system today are so high largely because we have abandoned the traditional (and successful) standards of investing, well described by the words of the legendary Benjamin Graham, as they appeared in the *Financial Analysts Journal* of May-June 1963:

> *It is my basic thesis—for the future as for the past—that an intelligent and well-trained financial analyst can do a useful job as portfolio adviser for many different kinds of people, and thus amply justify his existence. Also I claim he can do this by adhering to relatively simple principles of sound investment; e.g., a proper balance between bonds and stocks; proper diversification; selection of a representative list; discouragement of speculative operations not suited for the client's financial position or temperament—and for this he does not need to be a wizard in picking winners from the stock list or in foretelling market movements.*

Anyone familiar with the ideas I've advocated during my long career would not be surprised to know that I passionately subscribe to these simple principles of balance, diversification, and focus on the long term—to say nothing of being skeptical that stock pickers and market-forecasting wizards can, on balance and over time, add value.